

Eligibility Threshold Criteria: LED Lights (in Rs crore, where 1 crore = 10 million)
Table 2

Segment	Year	PLI	Minimum cum. incr. investment	Minimum incr. sale	Minimum PLI	Minimum cum. incr. investment	Minimum incr. sale	Minimum PLI
			Large investment			Normal investment		
LED Lights (Core Components)	2021-22		100			20		
	2022-23	6%	150	600		40	120	
	2023-24	6%	200	900	36	60	240	7
	2024-25	5%	250	1200	54	80	360	14
	2025-26	5%	300	1500	60	100	480	18
	2026-27	4%		1800	75		600	24
	2027-28				72			24
	Total		300	6000	297	100	1800	88
Components of LED Lights	2021-22		5			2		
	2022-23	6%	10	30		4	12	
	2023-24	6%	15	60	2	6	24	1
	2024-25	5%	20	90	4	8	36	1
	2025-26	5%	25	120	5	10	48	2
	2026-27	4%		150	6		60	2
	2027-28				6			2
	Total		25	450	22	10	180	9

LED industry, the largest product category is LED bulbs, followed by tube lights, batons, etc.

An LED bulb comprises a driver circuit, an LED engine, and the mechanical part for managing optics and thermals. All these three components are equitably distributed in the value chain as far as the BoM is concerned. "But the easiest hanging fruit is the mechanicals," as per Atul Lall, Managing Director & Vice Chairman, Dixon Technologies India Ltd.

Metal-core printed circuit boards (MCPCBs) present another interesting opportunity. Though PCBs form an integral part of LED lights, the variety produced in India is limited even with many PCB manufacturing companies' presence in India. This forces companies to look for import substitutes.

"Somehow, we are not able to get MCPCBs in India. The economics is not working out. I feel that there should be a major push to source this from within India," says Lall.

Robust ecosystem: A joint effort

The lack of indigenous components is a key reason for imports. However, another reason to opt for imported components instead of locally made

components is the price disparity. This results in low sales for the domestic component manufacturers, and thus low indigenous value addition to the end product.

Addressing this price disparity is an important step that could boost the usage of domestically produced components. One way to do that, Singh suggests, is to increase the import duties being levied on electronic components. Similar to how the government raised customs duties for the automotive industry a few decades ago, a higher customs duty may actually discourage imports and result in AC makers using India-made components.

But this is on the policy front. What can component makers do to leverage this opportunity right now?

An innovative approach that can help boost the domestic market is building a joint roadmap by component makers and EMS/OEM companies. In other words, if component makers collaborate with EMS companies to ink pacts and partnerships, it can result in a win-win situation for both. Component makers get to sell their products while EMS companies succeed in adding domestic value to their products.

"A joint roadmap can be made because it is of strategic importance to our survival now. Our capital allocation, our operational efficiency, our scale, our cost of manufacturing, and our BoM have to be much ahead of others," explains Lall.

"There's a need for the industry to aggregate the demand now. I think the time has come for this change, otherwise this whole ecosystem will not be developed," agrees Singh.

This highlights the need for a collaborative effort between the government and industries, and also between different industries, if India is to compete in the global electronics market with completely domestically made products.

The other major factor that can decide the industry's fate is intensification in the efforts to build a strong design base in the country. While India boasts of a large design ecosystem, its size has little to do with the impact it creates on a global scale.

Bringing about these two changes within the ecosystem could help build a roadmap that might just be the answer to see the growth that the government is looking for while rolling out the PLI schemes.